

Nike Credit Analysis: \$100 Million Loan Assessment

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Business Overview

- World's largest athletic footwear and apparel company
- Operates in 170+ countries
- Revenue from footwear, apparel, and equipment
- Wholesale and Direct-to-Consumer sales
- Strong global brand

Financial Snapshot (in millions)

	2025	2024	Change
Revenue	\$46,309	\$51,362	▼ 9.8%
EBIT	\$3,702	\$6,311	▼ 41.3%
Net Income	\$3,219	\$5,700	▼ 43.5%
Cash	\$7,464	\$9,860	▼ 24.3%
Total Debt	\$7,961	\$8,903	▼ 10.6%

- Revenue declined by 9.8%, while net income fell by 43.5%.
- Profitability weakened much more than sales.

Liquidity Analysis

Ratio	2025	2024	Interpretation
Current Ratio	2.21	2.40	Declined by 0.19 – Strong liquidity (healthy: >1.5).
Quick Ratio	1.50	1.69	Declined by 0.19 – Strong liquidity without inventory (healthy: >1.0).

- Liquidity declined slightly but remains healthy
- Nike can comfortably meet its short-term obligations.

Leverage Analysis

Ratio	2025	2024	Interpretation
Debt-to-Equity	0.60	0.62	Improved by 0.02 – Moderate leverage (healthy: <1.0 for consumer products).
Debt-to-Assets	0.22	0.23	Improved by 0.01 – Low debt burden (healthy: <0.5).
Debt-to-EBITDA	1.78	1.25	Increased by 0.53 – Debt remains manageable (healthy: <3.0).

- Nike reduced total debt during 2025.
- Higher Debt-to-EBITDA resulted from lower EBITDA rather than higher debt.

Profitability Analysis

Ratio	2025	2024	Interpretation
EBITDA Margin	9.67%	13.84%	Declined by 4.17% – Weaker operating profitability.
Net Profit Margin	6.95%	11.10%	Declined by 4.15% – Lower overall profitability.

- Both profitability margins declined significantly in 2025.
- Lower margins indicate Nike earned less profit from each dollar of sales.

Efficiency Analysis

Ratio	2025	2024	Interpretation
ROA	8.80%	14.96%	Declined by 6.16% – Lower asset efficiency (<i>healthy: >5%</i>).
ROE	24.36%	39.50%	Declined by 15.14% – Lower shareholder returns (<i>healthy: >15%</i>).
Asset Turnover	1.27	1.35	Declined by 0.08 – Slightly lower operating efficiency (<i>healthy: 1.0–2.0</i>).

- Returns to both assets and shareholders declined during 2025.
- Asset utilization weakened slightly but remained within a healthy range.

Drivers of 2025 Performance

- **Increased competitive pressure:** Competition from adidas, Hoka, On, New Balance, and lululemon pressured Nike's sales, pricing, and market share in key categories.
- **Higher promotional activity:** Nike relied more on discounts and promotions to reduce inventory, lowering gross margins and causing net income to fall much more than revenue.
- **Disciplined balance sheet management:** Despite lower earnings, Nike reduced total debt by repaying borrowings, demonstrating a focus on maintaining financial strength rather than increasing leverage.

Risk Factors

Risk	Potential Impact
Consumer Discretionary Spending	Lower demand for Nike products may reduce revenue and profitability.
Intense Competition	Increased competition may pressure pricing, market share, and margins.
Foreign Exchange (FX) Exposure	Currency fluctuations may reduce reported international revenue and earnings.
Supply Chain & Tariffs	Higher input costs and trade disruptions may increase expenses and reduce margins.
Credit Rating Downgrade	Higher borrowing costs and potentially more restrictive financing terms.

Although these risks contributed to Nike's weaker financial performance in fiscal 2025, Nike's strong liquidity, moderate leverage, and financial scale support approval of the \$100 million loan.

Final Decision

Approve with Conditions

Why approve?

- Nike generated \$46.3 billion in annual revenue and remains one of the world's largest athletic apparel companies.
- The loan is very small for Nike. A \$100 million loan is only about 0.3% of Nike's total assets and 1.3% of its cash, so repayment should be manageable.
- Liquidity is healthy (Current Ratio 2.21), leverage is moderate (Debt-to-Equity 0.60), and total debt decreased in 2025.
- Nike remains profitable and has sufficient financial resources to comfortably repay the loan.
- "In 2025, Nike reported net interest income of \$107 million — interest earned exceeded interest paid, indicating debt obligations are already well covered."

Conditions

Profitability declined significantly in 2025, and Nike's S&P credit rating was downgraded in July 2025 yet remains investment grade.

Conditions:

- Maintain Debt-to-EBITDA below 2.5×
- Submit quarterly financial reports to the lender.
- Failure to meet these conditions may result in a higher interest rate or early repayment.

Thank You

Questions?